Stock Focus

Light and Wonder (LNW-ASX)

Tuesday, 25 July 2023

Light & Wonder initiation - the bridesmaid that caught the bouquet

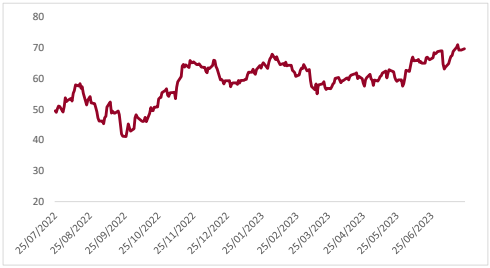
Recommendation: Positive

Last price	**AUD103.38**
Valuation	**AUD131.07**

TSR	
Upside to valuation	26.8%
Dividend yield	0.0%
Expected total SH return	26.8%

LNW-ASX share price history

Source: E&P Research, IRESS



Trading Data	
Last price	AUD103.38
Valuation	AUD131.07
12 month range	$22.08 - $35.20
Market cap ($m)	$9,457
Shares outstanding (m)	91.5
Free float (%)	86.0
12 month return (historical)	(29.0)%

Earnings revisions

	FY23	% chg	FY24	% chg
Revenue	2,761.9	0.4%	2,965.8	2.4%
EBITDA	1,015.2	1.0%	1,184.3	6.1%
Adj. EPS	334.6	12.6%	508.2	27.8%
Val	**AUD131.07**	**0.0%**		

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We initiate coverage on Light & Wonder (LNW) with a Positive recommendation and $131.07/sh valuation. LNW is a strong competitor in the slot machine, social casino and igaming markets.

The company is running a strategy to pivot towards a premium R&D and product led approach. The board and management team (plus others) ran this strategy at Aristocrat (positive, $50.18/sh valuation) during the big turn-around years 2009-15 that led to Aristocrat having its market leadership position today, underpinned by consistent market leading premium content. LNW is pursuing similar goals with a similar approach, and while we don't believe they will supplant Aristocrat, we believe this strategy will strengthen their competitive position significantly and lead to greater share.

LNW has lead the market in terms of its three-platform-approach, having built stronghold positions across all three of land-based, social casino and igaming markets ahead of other competitors. We believe there are both scale benefits on leveraging R&D across platforms, and also product benefits (potential at the moment) from having unregulated Social Casino R&D attached to regulated land-based and igaming R&D.

In terms of the timing for these strategies to work, LNW embarked on this journey around 3 years ago. In the case of Aristocrat, their journey took around 5 years to build a reputation for great consistent content, and we believe there are signs of this emerging properly for LNW right now. This should/could crystalise for LNW in the next year or two at which point there is potential for different parts of the business to accelerate.

Financial forecasts

LNW has a 2025 AEBITDA target of $1.4b that consensus isn't factoring in yet. Our initial forecast is $1.281b which is a bit above market. In terms of EPS growth, LNW's base is complicated so FY23 EPS growth is large. From FY24-27 we forecast mid-20's EPS growth driven by high single digits revenue growth, some margin expansion, and then financial leverage. The potential for buy-backs or debt repayments could enhance this EPS growth further.

NB. Given LNW recently listed on the ASX, our 1 year price history chart to the left is of the US-listed (USD based) share price performance.

Earnings Forecasts

Yr to Dec ($)	22A	23E	24E	25E
EBITDA	914.0	1,015.2	1,184.3	1,281.5
Adjusted Net Profit	4,005.0	306.1	472.1	587.3
Adj. EPS (c)	4,171.9	334.6	508.2	622.6
Adj. EPS Gth (%)	4,449.0	(92.0)	51.9	22.5
PER (x)	**3.5**	**43.5**	**28.7**	**23.4**
PEG Ratio (x)	0.1	(47.3)	55.2	103.9
ROE (%)	**(847.6)**	**24.1**	**29.8**	**28.6**
EV/EBITDA (x)	**14.1**	**11.9**	**9.9**	**8.9**
Net Debt/EBITDA (x)	3.2	2.6	1.8	1.2
Int. Cover (x)	1.5	2.2	3.2	4.0
Valuation (blended)				**AUD131.07**

Source: E&P Research

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Light and Wonder

Investment Thesis and report content

We initiate coverage of Light & Wonder (LNW) with a Positive recommendation and AU$131.07/sh valuation. LNW is broadly regarded as the number 2 player in the slot machine content and hardware industry behind Aristocrat (Positive, AU$50.18/sh valuation), and is embarking on a similar strategy to what drove Aristocrat's meteoric rise from 2009 onwards, but in a contemporary setting. This contemporary setting means that while land-based machines is the biggest game in town, it is no longer the only game in town, and therefore LNW's general perception as no.2 is not so straight forward.

In the last 18mths LNW embarked on a re-investment led strategy to enhance both the absolute quality of its gaming content, as well as the frequency of outputting successful/high quality games. The current management team ran this same playbook while turning Aristocrat into the market leader in the last decade.

On the negative side vs 2009 when LNW management and board started building Aristocrat into its current form, the management team didn't face a 'monster of their own creation' in Aristocrat who definitely has not let up on reinvestment and quality content output, and so the battle they face is very different to Aristocrat's challenge from the late 2000's. However, on the positive side, the management team has probably been stronger on strategy and achieved an early leadership position in igaming, as well as a meaningful market share in Social Casino. As we will discuss in detail in this report, we believe that there is a virtuous circle that comes from playing meaningfully in all three of land-based, social casino and igaming simultaneously, and LNW has the jump on the rest of the industry in this regard.

In terms of longer term market structure, our thesis on the industry is that the advent of igaming will lead to a tighter market structure, where the current first movers (LNW and Aristocrat) will have better tools to build better content, which will drive higher revenues, which will drive better R&D budgets (which will drive better tools... etc). As such we see the industry becoming more duopolistic over time, with both competitors growing with market growth (particularly in the igaming space) and through market share consolidation against the rest of the industry which is generally some combination of behind on scale or more balance sheet constrained.

Unless otherwise stated, in this report references to share prices are in AUD, while references to other figures will typically be in USD which is the company's reporting currency.

Key segments of this report are:

- Brief Company Overview - p3
- Case Study on Aristocrat becoming a product-led company - p7
- Future Benefits of having better R&D and a 3 platform model - p14
- Field testing of LNW products - p18
- Financial Forecasts - p25
- Valuation and recommendation - p29
- Key Risks - p30
- Appendix 1: Board of Directors - p30

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Brief company overview

Light & Wonder (LNW) is generally regarded as the second strongest player in the slot machine market globally behind Aristocrat. The company is run by a lot of the management team that took Aristocrat to number one between 2009-2015, and is executing on a similar strategy under different market settings to try and improve the market share and profitability of the business.

LNW has two key operational rungs to its strategy as a business:

- Creating great content and franchises fully cross-platform (both land-based and digital markets) and enabling a seamless player experience
- Expanding in high-return markets

The company then also targets efficient release of capital to shareholders via share repurchases while maintaining a now delevered balance sheet (albeit as we will mention again in our financial analysis we would probably like to see slightly more de-gearing). As part of this, the company sold its Lottery Business and Sports Betting Business, and used proceeds in part to signficantly de-gear.

The cross-platform strategy is key to LNW's approach to the market and the overall investment thesis. LNW has three major segments, being Gaming, SciPlay (Social Casino) and iGaming (online real-money gaming). The basic premise that starts the thesis on LNW as an investment is that one dollar of R&D goes to three different revenue streams, compared to one revenue stream only for most other players in the industry (and for Aristocrat two revenue streams until quite recently). This provides a capital efficiency advantage that enables a greater dollar value of R&D spend.

LNW's segments are discussed below in further detail:

Gaming

Land-based gaming products is LNW's largest revenue driver presently. LNW has a general no.2 position in the core cabinets and content revenue, which in 1Q23 composed $318m of LNW's $419m. LNW also provides land-based systems solutions for which they are the market leader, and automated table game products.

Exhibit 1 - LNW Gaming Revenue mix in 1Q23



Source: Company Reports

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LNW is enjoying some reasonable success with its more recent premium land-based content and cabinets. The below image shows three of their more prominent brands that are showing good scaling presently (the fourth in this being Ultimate Fire Link).

Exhibit 2 - LNW recent premium game releases



Source: Company Reports

We believe the best illustration to date of LNW's renewed focus on R&D is their Frankenstein game shown below with the Cosmic Cabinet. Both the game and the cabinet are showing up strongly on Eilers 'most anticipated' lists, and as discussed later we have been impressed with the visual impact of the integrated cabinet and content.

LNW: Universal Monsters - Frankenstein



Source: Light & Wonder

In terms of competition in this category, Aristocrat, Aruze Gaming America, Bluberi Gaming, Everi Games, Incredible Technologies, IGT, Inspired Entertainment, Konami, Novomatic Group, Interblock and PlayAGS are all competitors with different levels of prominence.

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In 1Q23 LNW had approximately 20% ship share globally for units sold, behind IGT at 22% and Aristocrat at 27%, but with a significant gap to no.4 Konami at 6%.

LNW gaming products are installed in all major US gaming jurisdictions and in 185 international gaming jurisdictions.

For systems, LNW offers a CMS (centralised monitoring system) and competes with Aristocrat, Konami and IGT primarily.

SciPlay

SciPlay is LNW's Social Casino business. LNW refers to the business as a developer of digital games on mobile and web platforms. SciPlay provides some hyper-casual content however the majority of revenues are derived from Social Casino apps. A number of the more prominent apps in the business are shown below.

Exhibit 3 - LNW SciPlay gaming content



Source: Company Reports

SciPlay primarily competes with Playtika, Aristocrat (across Product Madness and Big Fish Games), as well as DoubleU Games, Double Down Interactive, Scopely, AppLovin and Huuuge Games. Over the top of the core Social Casino competition, SciPlay notionally also competes in the broader mobile/web app market more generically.

While revenues vary by provider and app, all of Playtika, Aristocrat and LNW have different levels of claims to being the no.1 provider in the Social Casino market. Playtika reported US$146.6m in revenue in 1Q23, compared to US$186m for SciPlay. In 1h23 Aristocrat had bookings of AU$484.5m, which works out to an equivalent of ~US$160-170m each of the last two quarters.

iGaming

LNW is ahead time-frame wise and historical earnings wise vs major land-based competition in the igaming space. The company booked US$65m in revenues from igaming and US$23m in AEBITDA in 1Q23.

LNW has released 319 games of its own and 35 in total into iGaming format, including popular land-based titles such as Ultimate Fire Link Olvera Street, 88 Fortunes Dice and Rich Little Piggies.

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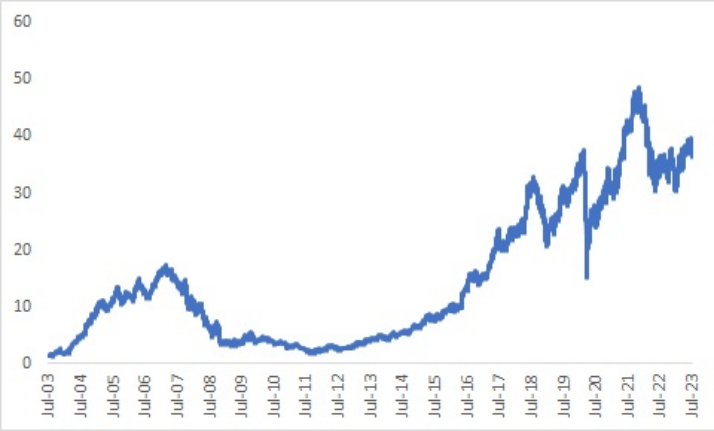
Within the narrower definition of regulated online slots LNW is a market leader in the space. Once unregulated markets or the broader online gambling market is considered, there are lots of significant competitors. LNW's most significant land-based competitor Aristocrat has now meaningfully entered the igaming market with the recent acquisition of Neogames as well as the release of some of its land based content and remote-gaming-server capabilities, but it is early days for them vs a longer-established business for LNW.

Broader competition includes players such as Evolution Gaming, Games Global, GAN, IGT and Playtech.

CASE STUDY: Aristocrat case study on becoming product-led

Aristocrat (Positive, $50.18/sh valuation) has been a very successful investment for investors that backed their strategic pivots in 2009-2015. We are going to look at Aristocrat's journey to success over a longer period of time to put LNW's strategy today in context. As a starting premise for this case study, we believe there is enough room for a very successful no.2 behind Aristocrat, and that the market is big enough for both businesses to thrive today using similar strategies, particularly if none of the other competitors in the industry make the pivots outlined below.

Exhibit 4 - Aristocrat generated fantastic returns over the last decade



Source: Iress

Aristocrat's first step on its journey to no.1 status in the industry was to shift its strategy to be more product focussed in how it did business. In 2009 the then new management team made the decision to hold the line on R&D spend despite a very tough year. The company's 2009 results deck outlined a 5-part strategy at the time, of which to us the most important slide was the one shown below - setting the goal for having the best games and systems faster and boosting core product development processes, with an initial expectation that some benefits would flow from 2011 (two year lead time).

Aristocrat pivoted to an R&D focus back in 2009



Source: Company Reports

The table below outlines Aristocrat's financial profile from 2001-2009. At a higher level, you can see a record percentage of sales by a reasonable margin hits the P&L in 2009, and a basic effort to hold the line on spend despite a major down-turn in sales volumes due to a very tough market at the time. Prior to 2006 the company was spending quite a low level of R&D as a percentage of sales, and through the whole time until 2008/09 when one compares the R&D budget levels to the Sales & Marketing expense levels, one can see that the company was really a sales-led business more so than a product-led business just based on the weight of numbers.

Exhibit 5 - Aristocrat in the early days spent less than 10% of sales and typically less than 20% of GP on R&D

Year	2001	2002	2003	2004	2005	2006	2007	2008	2009
Month	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec
Revenue	766.8	969.5	981.3	1136.6	1296.3	1074.5	1122.0	1079.9	908.6
Gross Profit	401.4	534.5	364.1	558.2	679.9	642.9	651.5	562.7	495.1
Other Revenue/Income	11.2	6.9	13.9	12.2	20.7	20.2	23.4	30.3	17.2
R&D	-54.9	-65.0	-63.4	-59.0	-65.8	-95.2	-104.2	-117.2	-113.4
Sales & Marketing	-132.2	-221.7	-165.7	-123.1	-129.9	-95.7	-107.1	-114.4	-99.7
G&A	-87.4	-114.7	-227.5	-106.1	-129.7	-125.4	-131.6	-201.3	-282.8
EBIT	138.0	140.1	-78.7	282.2	375.2	346.8	332.1	160.2	16.3
NPAT	86.0	80.2	-106.0	174.7	244.3	240.1	247.9	101.9	-157.3
Abnormals									-187.3
R&D % Sales	7.2%	6.7%	6.5%	5.2%	5.1%	8.9%	9.3%	10.8%	12.5%
R&D % Gross Profit	13.7%	12.2%	17.4%	10.6%	9.7%	14.8%	16.0%	20.8%	22.9%
R&D change in $m		10.1	-1.6	-4.4	6.7	29.4	9.0	13.0	-3.7
Change in Revenue		202.7	11.8	155.4	159.7	-221.8	47.4	-42.1	-171.3
Sales & Marketing % Sales	17.2%	22.9%	16.9%	10.8%	10.0%	8.9%	9.5%	10.6%	11.0%

Source: Company Reports

Over the next few years, Aristocrat upped its R&D % of Sales and GP even further, hitting a high-point historically in both 2010 and 2012 at 16.0% of sales (and >30% of GP), and holding spend in the mid-teens all the way through 2014 as it re-oriented its business.

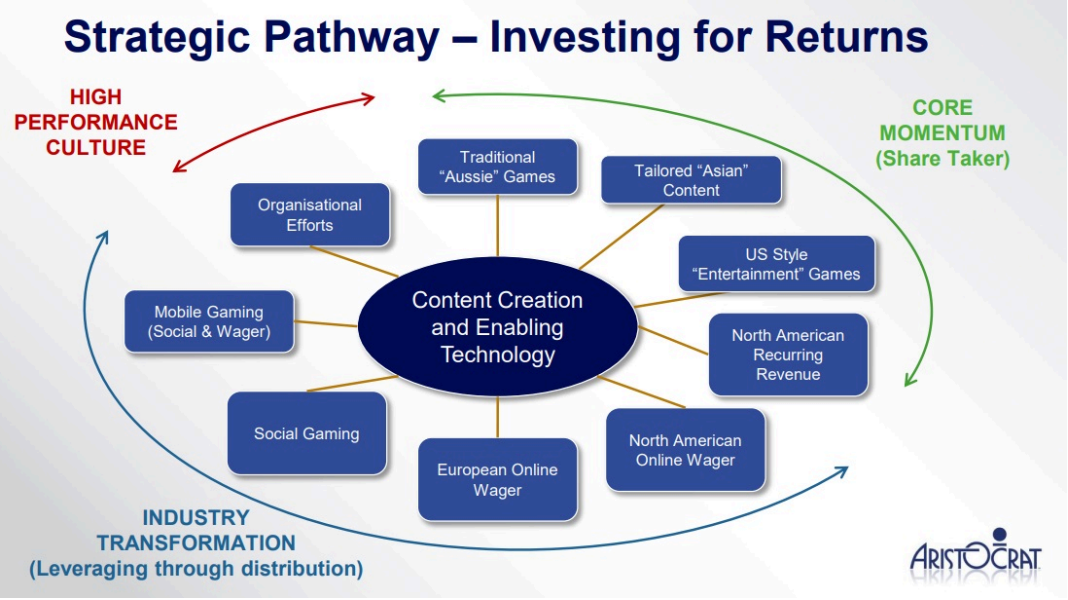
In 2012 Aristocrat acquired Product Madness and moved into the Social Casino space. During this year its R&D in dollar terms hit an interim low due to an incredibly difficult year, but then the company never looked back budget-wise, with its overall R&D budget basically doubling (albeit partially through acquisition) by 2015.

In 2013 Aristocrat pivoted its R&D towards a more targeted strategy tailoring games towards key target markets. From the acquisition of Product Madness in 2012, the company also started leveraging its R&D across platforms and benefiting from more scaled revenue opportunities. As part of this approach, Aristocrat made a number of major personnel additions at this time.

As early as 2013-14 Aristocrat was talking about entering the igaming space in regulated markets as well, albeit expanding into the third platform has only just happened for the company (something where LNW has a strategic head start now).

The slide below is from a 2013 Aristocrat presentation, and highlights how much content creation became the center of how the company thought about business.

Exhibit 6 - Aristocrat pivoted in 2013 and started investing in more targeted content



Source: Company Reports

In 2014-15 Aristocrat had started pivoting its revenue streams to be more focussed on gaming operations (recurring revenue) instead of outright sales. In FY13 Aristocrat had 13% of its revenue in gaming operations. In FY14 Aristocrat acquired VGT which gave it larger exposure to recurring revenue via Class II gaming operations. In our view, this pivot was enabled by the larger investment in R&D over the preceding 5 years, that built a reputation with the customer base for consistently good and frequent content releases.

We will talk about our view on how both the customer and vendor of EGMs behaves differently with consistently good content in more detail later, however at a basic level the EGM vendor (in this case Aristocrat) bears all the capital risk around hardware in a Gaming Operations setting, if the customer is unhappy with the game performance then they can elect to return the machine.

For the vendor to be confident to put a machine out into a Gaming Operations setting they need to have confidence in either or both of a) the game having good longevity of popularity, or b) the captive studios being likely to produce a new good game

reasonably soon that the customer will be happy to substitute into the existing cabinet, so that the cabinet is likely to stay on the floor rather than being returned.

One of the positive consequences of having a successful product-led strategy is that this can lower your sales & marketing intensity, through both higher yields per cabinet, and easier selling processes. Through the period from 2015 to today, Aristocrat's sales & marketing expenses fell as a percentage of sales, averaging 5.6% vs 12.1% of sales from 2001-2014.

Exhibit 7 - Aristocrat has maintained more elevated R&D as % of Revenue and GP since 2009 and has typically not seen substantial reductions in its spend in any years since

	Massive FX	9mths			Acquisition				Acquisition				
Year	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Month	31-Dec	31-Dec	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep	30-Sep
Revenue	684.6	704.3	581.8	808.7	847.6	1576.1	2128.7	2453.8	3549.8	4397.4	4139.1	4736.6	5573.7
Gross Profit	365.0	384.9	305.1	435.3	461.6	896.9	1256.0	1486.2	1972.3	2426.6	1956.4	2460.4	3079.8
Other Revenue/Income	24.5	8.7	6.2	12.5	12.1	25.8	11.6	10.0	13.5	11.1	27.5	6.9	26.0
R&D	-109.8	-100.9	-93.2	-118.9	-130.1	-191.4	-239.2	-268.4	-413.6	-500.4	-497.9	-527.6	-666.5
Sales & Marketing	-76.7	-71.4	-66.9	-74.9	-74.7	-118.3	-119.5	-116.8	-181.3	-217.1	-291.1	-213.7	
G&A	-79.3	-107.7	-82.6	-103.1	-188.2	-294.6	-301.5	-320.2	-512.5	-611.6	-684.1	-652.3	-955.4
EBIT	123.8	113.7	68.6	150.9	80.7	318.4	607.4	790.8	878.4	1108.6	510.8	1073.7	1483.9
NPAT	77.8	66.9	45.6	107.2	-16.4	186.4	350.5	495.1	542.6	698.8	1377.7	820.0	948.5
Abnormals													
R&D % Sales	16.0%	14.3%	16.0%	14.7%	15.4%	12.1%	11.2%	10.9%	11.7%	11.4%	12.0%	11.1%	12.0%
R&D % Gross Profit	30.1%	26.2%	30.6%	27.3%	28.2%	21.3%	19.0%	18.1%	21.0%	20.6%	25.4%	21.4%	21.6%
R&D change in $m	-3.6	-8.9	-7.6	25.7	11.3	61.2	47.8	29.2	145.2	86.8	-2.5	29.7	138.9
Change in Revenue	-224.0	19.7	-122.5	226.9	38.9	728.5	552.6	325.1	1096.0	847.6	-258.3	597.5	837.1
Sales & Marketing % Sales	11.2%	10.1%	11.5%	9.3%	8.8%	7.5%	5.6%	4.8%	5.1%	4.9%	7.0%	4.5%	Not Disc.

Source: Company Reports

Key takeaways from Aristocrat's history:

- Pivoting strategy towards better product development took a few years to bear fruit;
- At the time of the pivot, Aristocrat's R&D budget was ~$113m per annum;
- Pivoting towards recurring revenue provided more budget stability over time;
- Diversifying revenue streams into Social Casino historically provided more scale which meant that Aristocrat's R&D % of Sales didn't need to climb further, but Sales & Marketing intensity could begin to fall.

Our views on implications of this history:

Having a product-led sales approach and organisational approach to us appears to be the dominant strategy in the sector for the following factors:

- Premiumisation appears to be a precursor to going after more recurring gaming operations revenue streams - for a corporate to not take the upfront outright fee requires confidence in ability for the game/cabinet to sustain its position on the floor beyond the upfront/lease revenue-break-even point;
- Premiumisation also appears to help with the basics of selling outright, as the gaming floor managers do not have to take the same level of single-game-risk in purchasing a cabinet (ie. if this game fades after 3-6mths at least we know that LNW will have some more good content out soon and we can always convert the unit to a new game);
- Scaling R&D across Social Casino appears to be a good general strategy for getting R&D leverage. While not in Aristocrat's numbers we believe the same would apply to igaming in general, as it is typically the same or very similar content to land-based and social casino games.

LNW is part-way along this path

LNW is now being run (at the board level) by Jamie Odell, who led Aristocrat during its transformation years from 2009-2017.

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Since Mr Odell took the reigns as Executive Chair of LNW, the company has restructured by selling its sports betting and lotteries divisions in 2021/22 and de-gearing heavily. Over the top, the company has bolstered its R&D efforts. The company has gone from GAAP loss-making to GAAP profitable in this time.

The table below outlines a basic history of LNW's financials over the last (almost) decade.

Exhibit 8 - LNW has now embarked on the same R&D consistency journey

	WMS acq.						Accounts Available ex-lotteries			
Light & Wonder	Bally acq.	Bally acq.								
Year	2014	2015	2016	2017	2018	2019	2020	2021	2022	1Q23
Revenue	1786.4	2758.8	2879.4	3084	3363	3400	1699	2153	2512	670
Services	788.5	1351.8	1420	1523	1777	1819	1259	1642	1795	477
Product	464.9	863	896.2	979	994	994	440	511	717	193
Instant Products	533	544	563.2	582	592	587				
Cost of Services	-283.7	-372.7	-396.5	-417	-505	-538	-338	-365	-390	-108
Cost of Product	-274.3	-405.5	-424.6	-465	-466	-457	-272	-244	-348	-94
Cost of Instant Products	-291.4	-325.9	-285.2	-282	-284	-289				
SG&A	-507.7	-567.7	-577	-613	-697	-707	-627	-679	-717	-192
R&D	-117	-183.9	-204.8	-184	-202	-188	-148	-190	-218	-54
D&A	-454.3	-903.2	-738.7	-683	-690	-647	-449	-398	-420	-101
Goodwill Impairment		-1002.6					-54	0	0	
Restructuring & Other	-30.7	-21.9	-57	-46	-253	-28	-56	-167	-146	-19
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Operating Profit	-172.7	-1024.6	195.6	394	266	546	-245	110	273	102
NPAT	-234.3	-1394.3	-353.7	-242	-352	-130	-569	371	3675	27
Gross Profit %	52.5%	60.0%	61.6%	62.3%	62.7%	62.2%	64.1%	71.7%	70.6%	69.9%
Gross Profit $	937	1654.7	1773.1	1920	2108	2116	1089	1544	1774	468
R&D % Sales	6.5%	6.7%	7.1%	6.0%	6.0%	5.5%	8.7%	8.8%	8.7%	8.1%
R&D % GP	12.5%	11.1%	11.6%	9.6%	9.6%	8.9%	13.6%	12.3%	12.3%	11.5%
SG&A % Sales	28.4%	20.6%	20.0%	19.9%	20.7%	20.8%	36.9%	31.5%	28.5%	28.7%
Segment Revenues										
Gaming	806.4	1773.6	1772.7	1844	1831	1748	926	1321	1601	419
SciPlay/Interactive	144.5	210	332.8	362	416	466	582	606	671	186
iGaming/Digital				66	270	275	191	226	240	65
Lotteries	835.5	775.2	777.9	812	846	911				
R&D % Gaming Revenue	14.5%	10.4%	11.6%	10.0%	11.0%	10.8%	16.0%	14.4%	13.6%	12.9%
R&D % Gaming Revenue adj. for Lotteries share	7.7%	7.5%	8.4%	7.4%	8.3%	7.9%	16.0%	14.4%	13.6%	12.9%

Source: Company Reports, E&Pe

The company appears to be embarking on basically the same journey that Mr Odell took Aristocrat on, with a big change in its focus on R&D. The budget that the company is applying to R&D nowadays (US$218m in FY22) is much larger than the amount Aristocrat started with when it pivoted (A$113.4m), but in % sales and % GP measures is analogous.

The chart below shows LNW's investment in R&D dollars as a percentage of just their land-based gaming business, with some adjustments made for when information on the splits between gaming and lotteries/sports was not available. This chart excludes Social Casino and igaming, and is meant to give a feel for the relative investment being made by LNW compared to Aristocrat when they were a pure-land-based business back in 2009 and made the R&D pivot. We note that Mr Odell became Executive Chair in 2020 right when this chart accelerates upwards.

Exhibit 9 - LNW R&D spend kicked up under current management



Source: Company Reports, E&Pe

This is a slide from the Scientific Games (now Light & Wonder) 4Q20 results describing their pivot after Mr Odell took the Executive Chair role:

Exhibit 10 - LNW 4Q20 results updated for initial strategic push to reorganise R&D teams for success



Source: Company Reports

We believe that strategically LNW is ahead of the curve vs where Aristocrat was at the same investment stage, given they have decent sized Social Casino revenues and an initial successful foray into igaming (faster than Aristocrat got there). In addition they are further along in gaming operations mix of overall business, which is the single biggest driver of their gaming revenues.

Exhibit 11 - LNW Gaming Revenue mix in 1Q23



Source: Company Reports

In this section hopefully we have illustrated that LNW's R&D pivot is significant, and has precedent for being the key generally to unlock to recurring revenue and greater market share in land-based outright sales. For Aristocrat it took about 4-5 years depending on how you measure for real success from the strategy to show up. We believe this time-frame correlates to how long it took to establish a reputation for consistent and frequent high quality content production from its more elevated R&D spend. LNW is currently about 3 years into the journey.

In the next section we are going to discuss the part of LNW's strategy where they are setting precedent, in the three-platform approach to gaming, as well as dive in a little further on the way that sustained elevated R&D helps.

Future benefits of having better R&D and a 3 platform model

Confidence from customers to buy cabinets outright (ie. take more risk on conversions)

We believe that R&D consistency is key to selling outright cabinets from the customer side. An example of this as a risk-reward trade-off for the gaming floor manager is the Kascada cabinet (a premium LNW cabinet). Kascada was released in October 2020. The Kascada cabinet initially had Coin Combo (Hurricane Horse and Marvelous Mouse) and Monopoly Money Grab as the two games available on launch.

Exhibit 12 - LNW Kascada cabinet released in October 2020



Source: Light & Wonder, GGBnews.com

Games subsequently available on the Kascada include:

Exhibit 13 - Kascada games available

100x Ra	Huff N' More Puff
88 Fortunes	Hypercharged - Pyramids of Ra
All That Glitters	Invaders from the Planet Moolah
Copper Dropper Progressive	Kraken Unleashed
Dragon Unleashed	Lock it Link Riches
Drop & Lock	Lock It Up
Fat Fortunes	Thunder Drums
Gold Fish Feeding Time	Treasure Shot
Golden Yak	

Source: Company Reports

For the gaming floor manager, this library of game content options means that the upfront game selection is less significant a capex risk. A lot of these games became available after the release of the Kascada cabinet, so if the original purchase (say of Coin Combo) is a starting point for the cabinet purchase, but potentially at a later date the cabinet will get converted to some of their contemporarily popular games such as Huff N' More Puff.

The list of game content options is important, but equally as important to de-risking the capex purchase for the gaming floor manager is the reputation for, and consistency of, regular high quality content releases. So if we consider Kascada, for purchasers back in 2020 just for illustrative purposes, the theoretical original cabinet spend has probably worked out pretty well, as the original games had some good performance, and then if on a given gaming floor the original game tapered off, the manager could convert it to a different game among many that have also performed well subsequently.

Stock Focus

Light and Wonder

Confidence to go harder after Gaming Operations business

The same dynamic we described from the customer lens also applies internally to LNW. For the EGM providers, the trade-off between outright sales and gaming operations revenue is effectively a bet on the ability for a cabinet to sustain a fee-per-day x no. paid days that is greater in total than the upfront outright price.

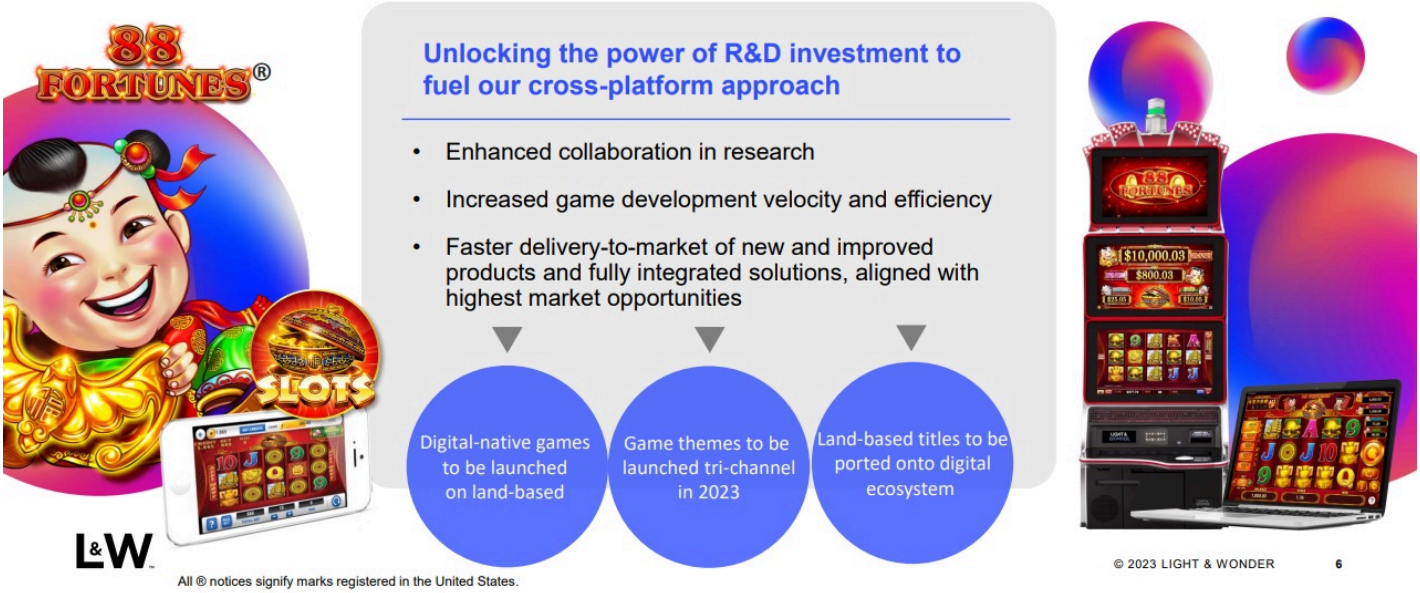
For a provider that achieves say $20k on an outright, vs $40 on a fee per day, the break-even point is 500 days undiscounted, and probably about 600 days overall including cost of capital. Overall this business can be much higher returning than outright sales though, if the provider can get a critical install base that achieves tenor before the customer switches the cabinet off their floor. So consistent high quality content is a big unlock to pushing more Gaming Operations units out into the field from the LNW business perspective too, as the business will have confidence that it can convert its Gaming Operations units in the event of a game tapering off, prior to the customer requesting the cabinet be removed. Without this internal confidence, the return-on-capital maths suggests that sales people would focus on outright sales instead.

The premise here simply is that high volumes of recurring gaming operations revenue is only possible after bedding down a consistent strong R&D program to support the additional capital at risk.

Leverage R&D across platforms

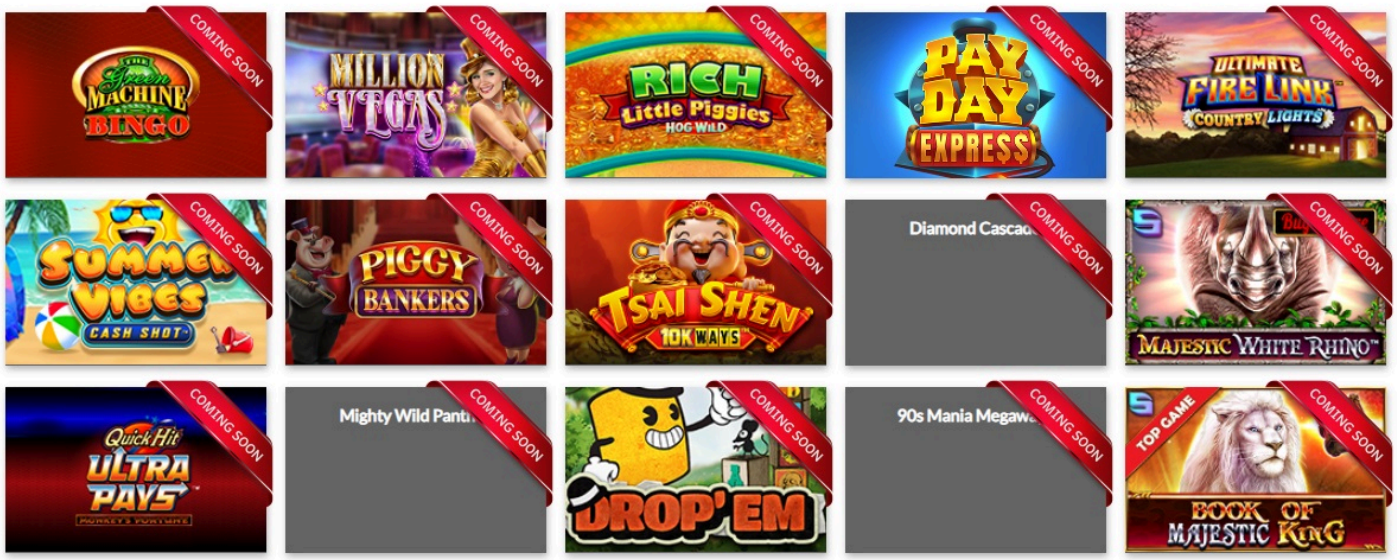
For a given piece of land-based content creation, the general composition is the underlying maths, and then the skin over the top of the maths. After this in land-based a gaming content provider also needs to provide a cabinet which provides amenity, sound, screen resolution, lighting and other aspects of a physical experience. There is also a regulatory sign-off process required to prove that the game meets local regulations and the maths works as described.

To transplant this to igaming in theory (if optimal anyhow) basically requires re-skinning the game for a PC or mobile format (different screen dimensions, and different sound dynamics coming from a smaller device instead of a cabinet potentially). As such, a lot of the R&D invested in creating the land-based game is already done when it comes to pushing the content to mobile for a given market. LNW is taking advantage of this today, as discussed in their 1Q23 results presentation (shown below).



The company has made tangible progress on this front. The screenshot below shows some illustration of this, with a number of the LNW featured igaming titles being derived from its land-based titles (eg. Ultimate Fire Link).

Exhibit 14 - LNW featured igaming content



Source: Company Data

For Social Casino, this is basically the exact same exercise, except that there is no regulatory impost, just the general requirements of the Apple and Android App Stores to navigate.

Potential Paradigm Shifts in the industry coming from a multi-platform capability

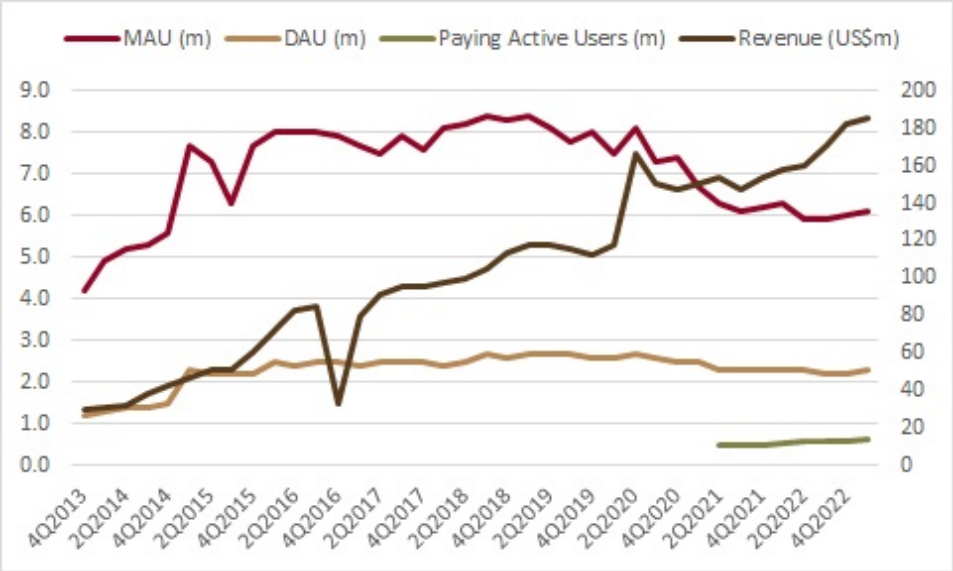
LNW has been ahead of the pack in targeting a multi-platform approach, with Aristocrat the other player currently pursuing the strategy. Either or both of these players could look at building out any of the following, all of which we believe could enhance competitive advantage vs single-platform providers:

- **Pre-releasing content in the Social Casino space and iGaming space before land-based to amass greater user feedback for land-based release:** In Social Casino there is basically no regulatory control at all, so a provider has the ability to do things like A/B testing on the fly, even down to the maths level. More basic A/B testing in theory could be done on the skin of a game in an iGaming setting as well as this regulation is more likely to be focussed on the maths and spin rates. This ability to do A/B testing and observe players directly (due to controlling the remote gaming server infrastructure in iGaming) should enable a deeper level of game optimisation prior to broader land-based release;
- **Longer term data set from iGaming can further tune games:** Over time, LNW should be able to aggregate quite detailed player data at the individual interaction level as to how players respond to different elements of games (whether different maths sequences, prizes, jackpots, skin features such as variations in sound and colour), that can be coupled to a basic set of user profiles including demographics, as a result of players playing on LNW remote gaming server infrastructure. In addition, with a widely-used Player Account Management system, LNW will be able to see how games perform comparatively at the individual level (this exact player played this game for this long, compared to this long on another game, got bored at this point, put more money in at this point etc), as well as the impact (or not) of different incentives and bonuses.

The tweak we would make to their strategy which we think would enhance it further

We believe that the chart below shows a big opportunity to use the Social Casino business for the strategic benefit of the rest of LNW. The chart shows monthly active users (MAU), daily active users (DAU) and Paying Active Users on the left vertical axis, and LNW Social Casino revenue on the right vertical axis.

LNW Social Casino revenue vs key user KPIs



Source: Company Reports

What this chart shows is the following in our opinion:

- LNW Social Casino revenue at this point is quite disconnected from the overall trajectory of MAU and DAU, and is somewhat loosely attached to the trajectory of Paying Active Users, but appears to be growing more as a function of growth in spend per "serious user" (our descriptive words, not a LNW metric). In gamer parlance this business looks like it has moved to be more about harvesting the 'whales' and 'krackens' rather than even the normal paying user;
- This means that most of the users on these apps are not of material individual commercial value to LNW - this makes them relatively low risk targets for experimentation in the form of A/B testing for different game designs. They could even do A/B testing on single users, attached to their demographic data;
- The Social Casino space has no real regulatory hurdles to game changes on either the skin of a game, or the underlying maths. As such from a legal perspective outside of app store rules you can do a lot to test different concepts with these apps, particularly with a non-paying user, which is the vast majority of users.

So, what we would suggest is a big opportunity for LNW, is to use the DAUs or MAUs who are not paying active users, but are clearly engaged with the content, as a free source of data on game concepts, by running A/B tests on new ideas and testing for things like paying conversion, dwell time, drop-off moments etc, to help tune games and game concepts in advance of them moving into the regulated real money spaces. The company has a ways to go to catch up to Aristocrat's best content but this is the sort of data asset that could really help close the gap if used right.

Our field testing and review of LNW content has left us impressed

As with our relatively recent initiation on Aristocrat, as part of our process we went and field tested LNW premium content, as well as some legacy Scientific Games branded content.

The games we tested out in the field from LNW's premium content were Dragon Unleashed, Thunder Drums and Huff n' More Puff. In addition we have spent a bit of time watching videos of other people playing Frankenstein and Ultimate Fire Link, and given Ultimate Fire Link a test drive via LNW's free online demos. With each of these games, as with prior similar field research done related to Aristocrat and other competitors, we played the games for typically an hour or so, on a relatively low-priced bet, so we could get to the bonusing sequences and see how it felt. Some key points from our field research:

- Dragon Unleashed is probably our favourite of the games we have tested of the LNW games (not that I am a pokies player normally). It is the main game we have played where we sort of lost track of time. The bonus sequence was pretty well done albeit because one of the columns freeze the sequences didn't last as long as when playing equivalent Aristocrat content (which to our personal tastes was a slight detraction). Volatility seemed to match our personal tastes strongly - we got to the bonus sequence three times in relatively short succession but still ended the session slightly underwater money-wise - overall we were quite entertained, it was close to but not quite at Aristocrat's Dragon Link for us;
- While we were playing Dragon Unleashed, in a relatively open and low capacity gaming room, two other people decided to sit next to us and also play the game when they had the option of going to other machines including premium Aristocrat content. This is anecdotal but we also note that neither person was sitting next to us to talk, they were definitely there just for the game. One of the people made me hold the machine for him while he got a beer. It felt like the game had a bit of a loyal customer dynamic to it;
- Thunder Drums performed like a lot of the Aristocrat premium content, and like Dragon Unleashed, for us, until we got to the bonus sequence. One of the most important things in terms of how it felt was that the hold and spin mechanic didn't let you press the button - I really wanted to press the button! The game is obviously enjoying success but Dragon Unleashed was a way better experience for us. For our session the game showed a lot less volatility than Dragon Unleashed as well which could just be random chance;
- Huff N' More Puff took us a while to get to the machine due to other players occupying it (but also only one of them being in the venue we went to). We struggled a bit with the 3 little pigs thematic, but overall thought the bonus sequence was designed well to be quite entertaining. We ended up watching videos on youtube rather than playing for an extended period of time due to machine occupancy, but would note that our impression in general is that the volatility and bonus sequence are well designed. There are clearly lots of consumers who like the 3 little pigs thematic more than we did too;
- Frankenstein - we have only been able to watch on youtube, but I really like the "it's alive" feature. Of all the LNW games we have looked at, this was the one where the aesthetic really jumped out the most for us. The integration between the lightning features in the game during the bonus sequence and the design of the cabinet (which generally switches between fire or lightning colouration to match the game theme) is the most integrated game-to-cabinet design we have come across in our relatively new journey analyzing slot machines. The game doesn't look like it could occupy a substantial portion of a casino floor (how many halloween themed casinos do you come across?), however as a proof point for the level of R&D effort and investment the company is making we thought this is a fantastic marker.

Shorter term trends

More recent share of mind with gaming floor managers

More recent Eilers surveys have indicated that incrementally LNW is performing as a solid no.2. Eilers' most anticipated games list features two Aristocrat games, and then two LNW games as shown below. Our discussions with gaming floor managers has indicated that these lists are quite informative on shorter term perceptions and trajectories, which speaks to LNW being the clear no.2 in the space on content.

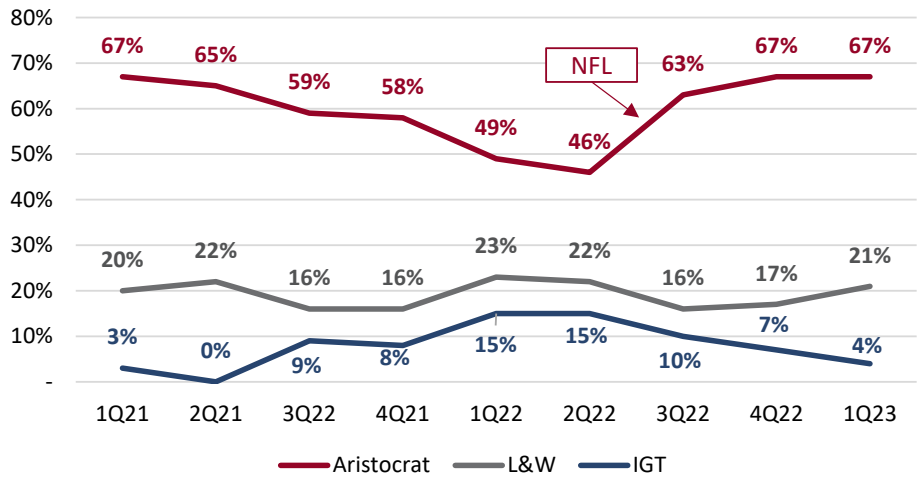
Exhibit 15 - Most Anticipated Premium Leased Games

No.	Supplier	Game	Votes	% of total
1	Aristocrat	NFL	22	26%
2	Aristocrat	Lightning Buffalo Link	12	14%
3	LNW	Frankenstein	7	8%
4	LNW	Dragon	6	7%
5	Aristocrat	Jackpot Carnival	5	6%
6	Aristocrat	Tarzan Link	3	4%
6	Aristocrat	Cash Express Luxury Line	3	4%
6	LNW	Ultimate Fire Link Cash Falls	3	4%
7	AGS	Rakin Bacon Deluxe	2	2%
7	Aristocrat	Lightning Dollar Link	2	2%
7	IGT	Propserity Link	2	2%

Source: Eilers & Krejcik

This trend appears to be quite sustainable over tie already, with LNW maintaining a clear no.2 position the entire time that the current management team has been running with its present R&D/content focussed strategy.

Chart 1 - Most Anticipated Premium Leased Games by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all games from each supplier that received votes.

In terms of the cabinet anticipation metrics, the Eilers survey results are typically more competitive, but also show LNW has been doing very well in sustaining a no.2 position over time, with points in time like the present where their Cabinet products are attracting lots of attention.

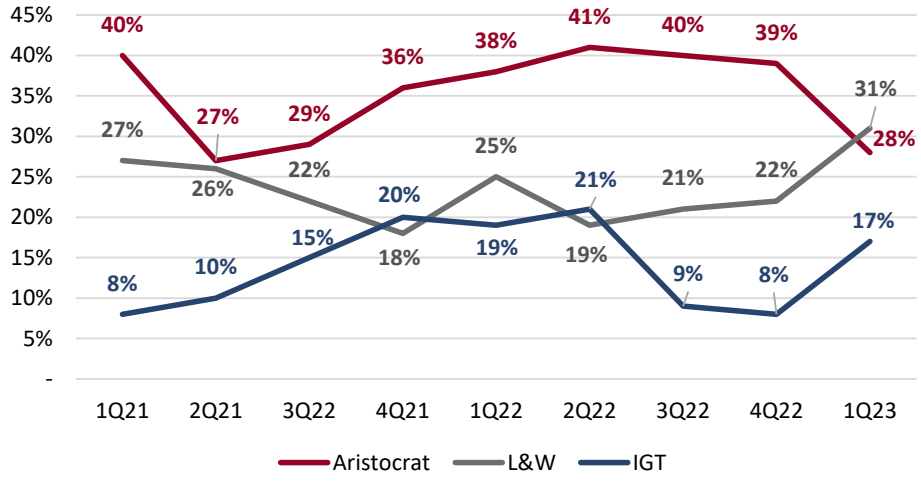
Exhibit 16 - Most Anticipated Core Cabinets

No.	Supplier	Game	Votes	% of total
1	LNW	Cosmic	24	31%
2	Aristocrat	MarsX Flex	12	16%
3	Aristocrat	Neptune Single	9	12%
3	Everi	Dynasty Vue	9	12%
4	AGS	Spectra UR43	6	8%
5	IGT	Peak Dual 27	5	6%
6	IGT	Peak Slant 32	4	5%
6	IGT	Peak Slant 49	4	5%
7	LNW	Kascada Slant	3	4%
8	Bluberi	Novus B49	2	3%
9	IGT	Diamond RS	1	1%
9	Ainsworth	A-Star Slant	1	1%
9	Konami	Dimension 27 Dual	1	1%

Source: Eilers & Krejcik

Over time this data has taken the following shape, with IGT being more competitive on cabinets than content, and LNW getting quite close to Aristocrat at points in time on overall share of anticipation in the survey.

Chart 2 - Most Anticipated Core Cabinets by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all cabinets from each supplier that received votes.

In terms of our longer term view on LNW being the clear no.2 and likely putting some distance on no.3 (IGT) as a result of a strong strategy, the short term data is generally pretty supportive of this as well.

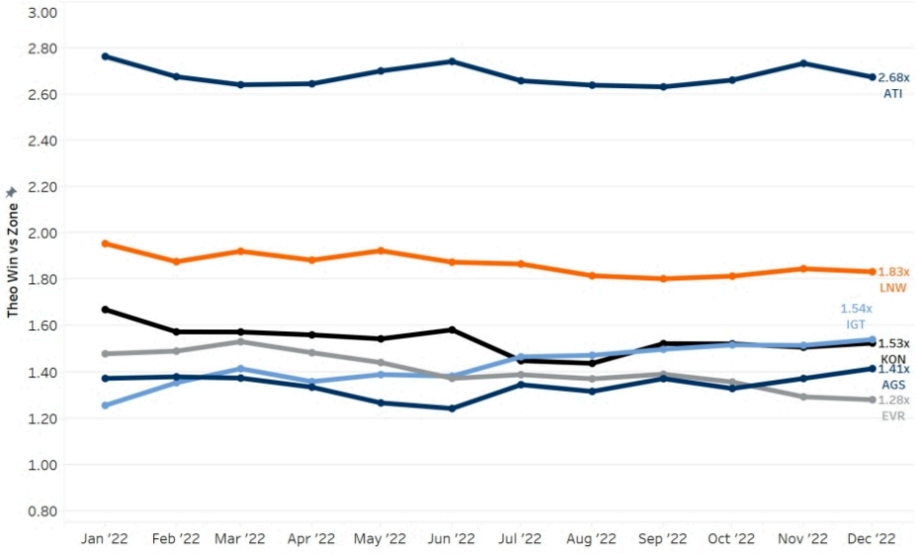
Performance vs floor average

Stock Focus

Light and Wonder

While Aristocrat is still the stand-out on performance vs floor average, LNW is clear no.2 in the space with a reasonable lead. Below we show longer term Eilers survey data which suggests that LNW's premium leased games average more than 1.8x zone average performance, and overall game performance is at floor average (behind Aristocrat who is the leader, but with a significant lead against Konami and IGT). The data we have available on this goes to December 2022.

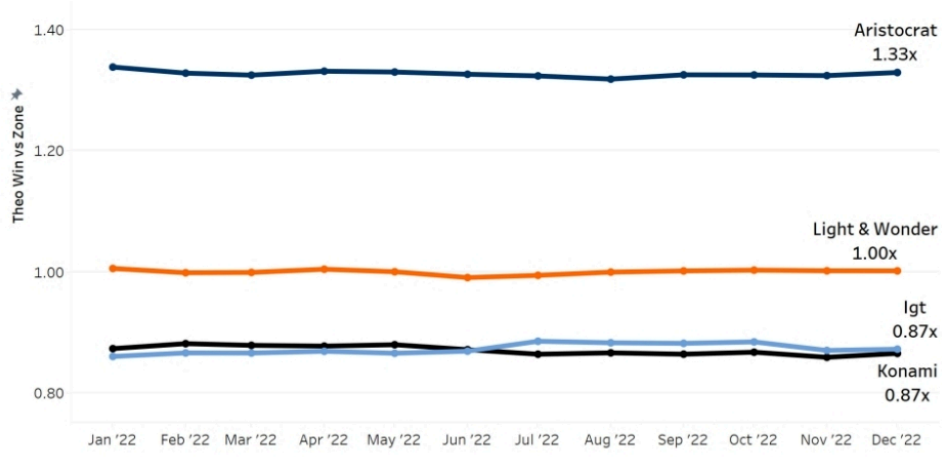
Exhibit 17 - Premium leased - net win vs. zone average



Source: Eilers & Krejcik Note: Trending Theo Win Index vs Zone Average by Supplier for the trailing 12 months.

These charts are clearly favourable for Aristocrat, however we would note in relative terms that LNW is outperforming IGT by ~15% on average which we believe is a significant lead in terms of 2 vs 3.

Exhibit 18 - Overall - net win vs. zone average



Source: Eilers & Krejcik. Note: Trending Theo Win Index vs Zone Average by Supplier for the trailing 12 months. Note, excluding all Video Poker, Keno, Skill, and ETG

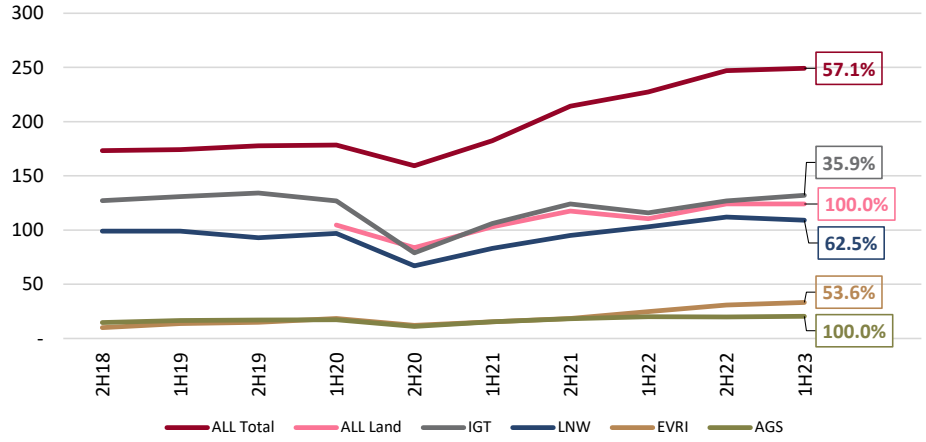
units. Class 3 only. Excludes Route Operations.

We beleive this all comes back to relative R&D spend (and success of that spend clearly). The chart below shows absolute dollar value of R&D spend by major player, and then the figures show the percentage of that line that is the company's exposure

purely to EGMs. For Aristocrat and LNW they both have exposure to social casino and igaming nowadays as well, so for both businesses this graph under-states their overall investment spend vs competitors.

As it relates to LNW, while the figure 62.5% represents their revenue exposure to EGMs, in practice most of that R&D spend is pointed in the same direction and category. As such, vs IGT as the no.3 the appear to be comparatively investing at about twice the rate, and are probably closer on overall investment levels to Aristocrat than to IGT on gaming R&D.

Chart 3 - Research/Design & Development (US$m) 1Q23 % of Revenue from Gaming Segment as label



Source: Company data, Visible Alpha, E&P Estimates.

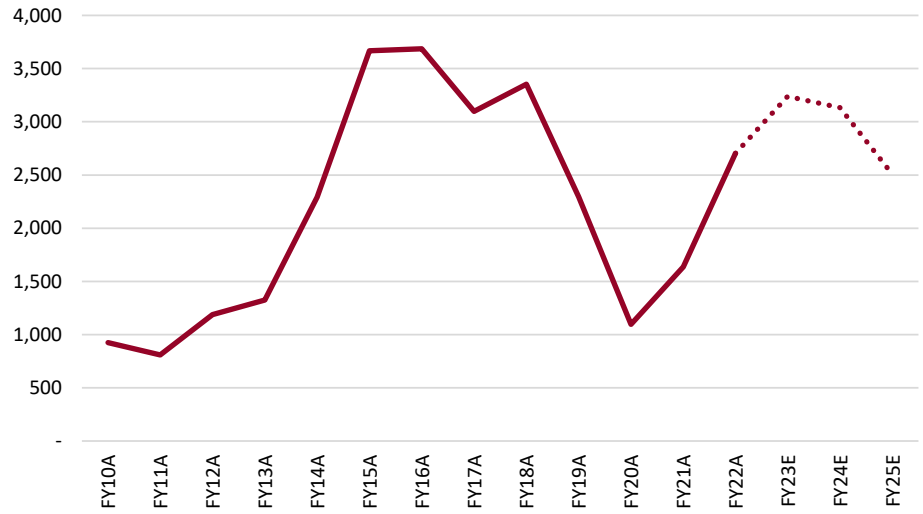
Shorter term trends in Land-based gaming

The onset of the Covid-19 pandemic resulted in a slashing of capex budgets across US casinos, with most spend coming in the form of maintenance capex. Total capex has mostly recovered but remains below the pre-covid peak both as a nominal metric and as a proportion of total revenue. The only consistent long-term trend that can be observed is that maintenance capex as a proportion of revenue has been steadily increasing.

The chart below shows US Casino capex since 2010. FY22 was a good year in terms of total capex from Casinos, but in light of the trough years in 2020-21 we believe current capex levels are more in line with normal than not. We do not expect a major rollover of US Casino capex (and therefore any major headwind on spend on slot machines in general terms).

The dotted line shows consensus capex estimates for the group of casinos in the analysis.

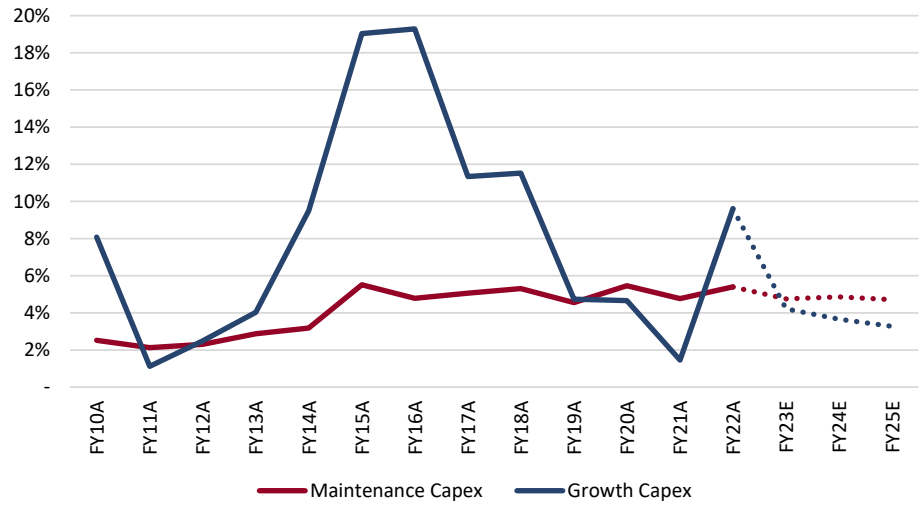
Chart 4 - US Casino Capex (US$m)



Source: Source: Company data, Visible Alpha, E&P Estimates. Includes MGM Resorts, Caesars Entertainment, Penn National, Churchill Downs, Wynns Resorts

The below chart looks at total US Casino spend as a percentage of revenue, and also delineates between maintenance capex and growth capex. In terms of expansion/growth spend FY22 looks like quite a normal year by historic standards, as such, while there is a cycle to Casino capex we believe that FY22 as a baseline for mid-cycle modelling is a safe starting point.

Chart 5 - US Casino Capex as a proportion of Revenue (%)

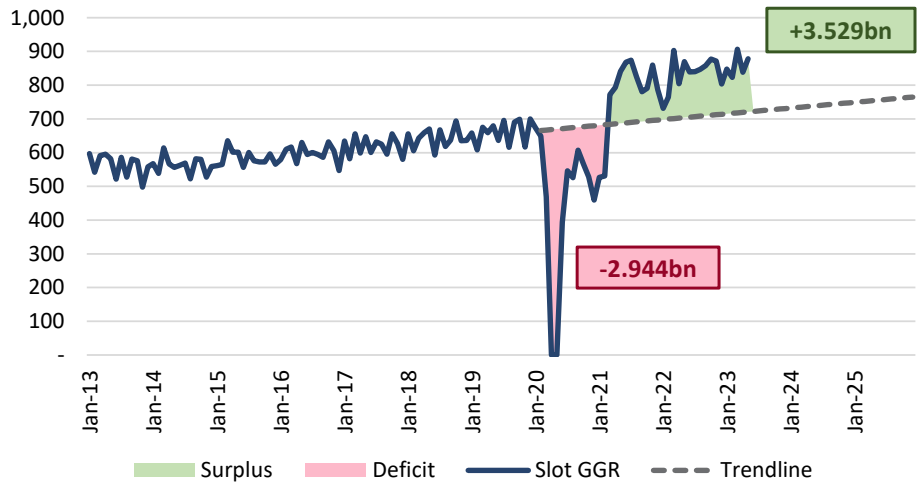


Source: Company data, Visible Alpha, E&P Estimates. Note: includes MGM resorts, Churchill Downs, Wynn Resorts

Gross Gaming Revenue is maintaining solid levels

Recent industry feedback has been that Gross Gaming Revenue in the US has remained elevated and growth rates have been solid despite comping government stimulus programs at this point in time. However, expectations are for this to soften somewhat later this year.

Chart 6 - Nevada Slot GGR (US$m)



Source: UNLV, various state gaming bodies, E&P Estimates

Financial Forecasts

Below is a break-down of our financial forecasts and key assumptions. We note at a headline level LNW has set itself an AEBTIDA target of $1.4b by 2025. Our forecasts arrive at $1281m over that time-frame and so if LNW executes well we will see upgrades.

The first table below shows our forecasts for revenue and AEBITDA by segment. For gaming, we have persistent growth albeit in mid-single-digits for now, driven by gradual increases in unit volumes, and a bigger driver in average fee per day for LNW's gaming operations business.

In igaming, we believe this will be a very high growth segment driven by new US states legalising/regulating, as well as now not comping COVID impacts in the same way. We have FY23-24 as lower growth periods than our view on structural growth due to Aristocrat entering the market, which we believe will cause an initial impact, but then LNW being able to grow unimpeded or uninterrupted after that one-time event.

For Social, our growth forecasts are largely predicated on growth in average spend per paying user.

We note that across all our assumptions, as well as in our DCF cost of capital assumption, is an implicit 2.5% inflation rate. In the event that inflation sustains higher for longer we would look at increasing our nominal growth rates and our cost of capital together accordingly.

Exhibit 19 - LNW segment revenue and AEBITDA forecasts

Revenue breakdown	2021	2022E	2023E	2024E	2025E	2026E	2027E
Gaming	**1329.4**	**1601.0**	**1749.5**	**1865.5**	**1974.4**	**2076.9**	**2189.4**
Growth (%)	43.5%	20.4%	9.3%	6.6%	5.8%	5.2%	5.4%
iGaming	**258.0**	**239.0**	**266.3**	**298.3**	**352.0**	**415.3**	**490.1**
Growth (%)	-13.4%	-7.4%	11.4%	12.0%	18.0%	18.0%	18.0%
Social	**606.0**	**671.0**	**745.4**	**802.0**	**846.1**	**897.3**	**951.6**
Growth (%)	4.1%	10.7%	11.1%	7.6%	5.5%	6.1%	6.1%
Corporate	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
TOTAL	**2,193**	**2,511**	**2,761**	**2,966**	**3,172**	**3,390**	**3,631**
Growth (%)	21.4%	14.5%	10.0%	7.4%	7.0%	6.8%	7.1%
EBITDA breakdown	**2021**	**2022E**	**2023E**	**2024E**	**2025E**	**2026E**	**2027E**
Gaming	**662.0**	**767.0**	**851.6**	**948.0**	**983.4**	**1036.4**	**1096.9**
Growth (%)	170.2%	15.9%	11.0%	11.3%	3.7%	5.4%	5.8%
iGaming	**93.0**	**81.0**	**89.9**	**105.8**	**111.6**	**156.9**	**212.3**
Growth (%)	5.7%	-12.9%	11.0%	17.7%	5.4%	40.6%	35.3%
Social	**187.0**	**187.0**	**218.6**	**261.3**	**320.9**	**345.8**	**372.5**
Growth (%)	-1.1%	0.0%	16.9%	19.5%	22.8%	7.8%	7.7%
Corporate	**-127.0**	**-121.0**	**-144.9**	**-130.7**	**-134.4**	**-137.1**	**-139.8**
Growth (%)	14.4%	-4.7%	19.8%	-9.8%	2.8%	2.0%	2.0%
TOTAL	**815**	**914**	**1,015**	**1,184**	**1,281**	**1,402**	**1,542**

Source: Company Reports, E&Pe

LNW reports an AEBITDA figure that excludes stock-based-compensation from the calculation, as well as restructuring charges which have been somewhat recurrent due to how much change has happened in the business in the last few years.

LNW defines AEBITDA as EBITDA less restructuring and unusual charges, and excluding share-based-payments. Our forecasts include $100m of share-based-payments as well as $60m of restructuring charges per annum (the company has been restructuring so much that this presently has a bit of a recurrent flavour to it). These are the two items that drive the difference between our AEBITDA forecasts and EBITDA forecasts. We would expect share-based-payments to persist as a difference between these two numbers, but at some point it is quite possible that the $60m of restructuring charges in our model per annum will drop away. This would lead to an upgrade (all else equal) to our EBITDA forecasts and NPAT/EPS forecasts, but not our AEBITDA forecasts.

The next table shows our P&L forecasts. We note our forecast for substantial % EPS growth in the next few years. From FY23-24 the 113.3% EPS growth somewhat reflects a bad base as the company has gone through a lot of restructuring and incurred a

lot of associated costs. After that though we believe LNW can achieve reasonable operating leverage which should turn high single digits revenue growth into more magnified gains at the EPS line.

Exhibit 20 - LNW P&L forecasts

P&L ($US)	2021	2022E	2023E	2024E	2025E	2026E	2027E
Sales Revenue	2,707	2,511	2,762	2,966	3,172	3,390	3,631
Sales Growth (%)	-0.6%	-7.3%	10.0%	7.4%	7.0%	6.8%	7.1%
Other Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0
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Total revenue	2,707	2,511	2,762	2,966	3,172	3,390	3,631
Revenue Growth (%)	-0.6%	-7.3%	10.0%	7.4%	7.0%	6.8%	7.1%
OPEX	- 1,635	- 1,597	- 1,747	- 1,782	- 1,891	- 1,988	- 2,089
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AEBITDA	1,072	914	1,015	1,184	1,281	1,402	1,542
EBITDA Margin (%)	39.6%	36.4%	36.8%	39.9%	40.4%	41.4%	42.5%
Depreciation	- 120	- 111	- 126	- 131	- 131	- 131	- 131
Amortisation	- 331	- 309	- 282	- 240	- 210	- 194	- 187
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AEBIT	621	494	608	814	941	1,078	1,224
EBIT Margin (%)	22.9%	19.7%	22.0%	27.4%	29.7%	31.8%	33.7%
Net Interest Expense	- 478	- 327	- 275	- 253	- 233	- 210	- 182
Share of associates	- 21	-	-	-	-	-	-
Other	- 171	- 330	- 167	- 160	- 160	- 160	- 160
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NPBT	- 49	- 163	166	400	548	708	882
TAX	315	- 13	- 22	- 88	- 121	- 156	- 194
Effective TAX Rate (%)	642.9%	-8.0%	13.0%	22.0%	22.0%	22.0%	22.0%
NPAT	266	- 176	144	312	427	552	688
Minority Interest	105	3,851	- 5	-	-	-	-
Shareholder Profit	371	3,675	139	312	427	552	688
Shareholder Profit Margin (%)			5.03%	10.52%	13.47%	16.29%	18.95%
Stat. EBITDA			848	1,024	1,121	1,242	1,382
Shares on issue (m)	98	96	91	93	94	96	97
EPS (cps)	271	- 183	157	336	453	577	708
DPS (cps)	-	-	-	-	-	-	-
EPS growth (%)	nm	nm	nm	113.3%	34.8%	27.3%	22.8%

Source: Company Reports, E&Pe

Below is our cash flow forecasts for LNW. There are no major call-outs in either operating cash flow or investing cash flow. However, we would note that LNW has materially reduced its debt and also run a buy-back. At present our forecasts do not factor in either a further reduction in drawn debt, or a buy-back, which leads to an accumulation of cash on the balance sheet and a negative carry vs paying down debt at the interest cost line. LNW is pausing its balance sheet activities at the moment for strategic opportunities which have not been defined to the market exactly yet. In the event that either a buy-back resumes or debt is further paid down, this would improve our EPS forecasts further.

Exhibit 21 - LNW cash flow statement forecasts

CASH FLOW STATEMENT	2021	2022E	2023E	2024E	2025E	2026E	2027E
EBITDA	954	608	931	1,184	1,281	1,402	1,542
Interest paid	-	-	- 200	- 253	- 233	- 210	- 182
TBF paid	- 341	- 29	- 35	- 88	- 121	- 156	- 194
Other	-	-	- 45	- 60	- 60	- 60	- 60
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FFO	613	579	651	783	868	977	1,106
FFO Growth (%)	97.1%	-5.5%	12.5%	20.2%	10.8%	12.5%	13.2%
Change in working capital	72	- 839	11	- 31	- 28	- 28	- 31
Operating cash flow	685	- 260	663	751	840	949	1,075
OCF Growth (%)	45.4%	-138.0%	-354.9%	13.4%	11.8%	12.9%	13.3%
CAPEX	- 199	- 216	- 151	- 131	- 131	- 131	- 131
Intangibles Capex	-	-	- 105	- 148	- 159	- 169	- 182
Other Investments	- 243	6,332	- 36	-	-	-	-
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Investing cash flow	- 442	6,116	- 291	- 279	- 289	- 300	- 312
ICF Growth (%)	155.5%	-1483.7%	-104.8%	-4.3%	3.7%	3.8%	4.0%
Movement in Borrowings	- 582	- 5,082	- 6	-	-	-	-
Movement in Contributed Equity	- 27	- 343	- 47	-	-	-	-
Distributions paid	-	-	-	-	-	-	-
Minority Distributions paid	-	-	-	-	-	-	-
Other	- 136	24	- 12	-	-	-	-
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Financing cash flow	- 745	- 5,401	- 65	-	-	-	-
Change in cash and cash equivalents	- 502	455	306	473	551	649	763
Cash Flow Growth (%)	-166.0%	-190.6%	-32.7%	54.3%	16.6%	17.7%	17.6%
FX adjustments	- 6	- 123	-	-	-	-	-
Net cash flow	- 508	332	306	473	551	649	763
Opening cash	830	1,326	1,178	1,618	2,149	2771.9	3504.6
Closing cash	635	967	1,273	1,746	2,297	2945.7	3708.4

Source: E&Pe

As with our cash flow statement forecasts, in the below balance sheet forecasts the main thing to call out is the substantial build-up of cash and lack of pay-down on loans. In practice LNW has stated targeted gearing ranges of 2.5-3.5x Net Debt/EBITDA and our forecasts have them eventually going deeply below that range. We would encourage the company to contemplate a range more like 2-3x rather than 2.5-3.5x however note that even then there is upside to our EPS forecasts if either a buy-back or debt reduction payment is made.

Stock Focus

Light and Wonder

BALANCE SHEET	2021	2022E	2023E	2024E	2025E	2026E	2027E
Cash	635	967	1,273	1,746	2,297	2,946	3,708
Receivables	423	455	472	507	546	584	626
Other current assets	683	278	280	280	280	280	280
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Total current assets	1,741	1,700	2,026	2,533	3,123	3,810	4,614
PPE	264	253	261	261	261	261	261
Intangible	946	797	639	547	496	472	466
Goodwill	2,892	2,919	2,922	2,922	2,922	2,922	2,922
Equity Accounted Investment	-	-	-	-	-	-	-
Deferred TBF Assets	-	-	-	-	-	-	-
Other	2,040	340	328	328	328	328	328
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Total non-current assets	6,142	4,309	4,150	4,058	4,007	3,983	3,977
TOTAL assets	7,883	6,009	6,176	6,592	7,130	7,793	8,591
Overdraft	-	-	-	-	-	-	-
Payables	204	154	183	186	198	208	219
Provisions	-	-	-	-	-	-	-
Loan	8,690	3,894	3,890	3,890	3,890	3,890	3,890
Other	726	444	398	398	398	398	398
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Total current liabilities	9,620	4,492	4,471	4,474	4,486	4,496	4,507
Provisions	-	-	-	-	-	-	-
Other	369	356	329	329	329	329	329
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Total non-current liabilities	369	356	329	329	329	329	329
TOTAL liabilities	9,989	4,848	4,800	4,803	4,815	4,825	4,836
TOTAL equity	- 2,106	1,161	1,376	1,788	2,315	2,968	3,756
Closing cash	635	967	1,273	1,746	2,297	2945.7	3708.4

Valuation and Recommendation

We have launched with a Positive recommendation and $131.07/sh valuation on LNW.

In terms of our valuation approach, we are taking the minimum of two different approaches:

- DCF valuation that uses financial forecasts out to 2032, with a 12.0% cost of equity and 10.0x P/E terminal value (after SBP and restructuring charges). Our DCF valuation is AU$200.77/sh. We note that this valuation requires a lot of things and only results in a multiple that we would expect the market to be comfortable with after about 5-6 years.
- 3yr forward 15x P/E. At present this is applied to our FY26 forecasts, which include EPS of US$5.77/sh (materially higher than current EPS). We believe that the stock is trading in acknowledgement that the company has transitioned through a material restructure, and is therefore reporting EPS in FY23 well below the current earnings power of the business. This approach provides us with a valuation of AU$131.07/sh which, as the minimum of the two approaches, is our current published valuation on LNW.

We will continue to publish both of these valuation measures and initially expect that the 15x 3yr forward P/E will be more informative of share price performance than our DCF. For longer term investors though we believe there is structural compounding upside if the company is able to execute its growth plans well.

Exhibit 22 - Light and Wonder vs Land Based Comps

Name	MC	EV	Revenue (US$m)		CAGR - Revenue		EBITDA (US$m)		CAGR - EBITDA		EV/Revenue		EV/EBITDA	
	US$m	US$m	FY23E	FY24E	FY19-25	FY23-25	FY23E	FY24E	FY19-25	FY23-25	FY23E	FY24E	FY23E	FY24E
SLOT MANUFACTURERS														
Aristocrat	16,995	17,919	4,186	4,359	7.7%	5.5%	1,419	1,492	7.1%	6.5%	4.3x	4.1x	12.6x	12.0x
Light and Wonder	**6,470**	**14,558**	**2,749**	**2,905**	**-1.1%**	**8.0%**	**1,014**	**1,123**	-	-	**5.3x**	**5.0x**	**14.4x**	**13.0x**
IGT	6,635	12,709	4,230	4,349	-0.7%	3.9%	1,711	1,790	2.2%	5.9%	3.0x	2.9x	7.4x	7.1x
Everi	1,318	2,095	841	880	10.0%	4.7%	389	411	9.2%	5.1%	2.5x	2.4x	5.4x	5.1x
PlayAGS	250	769	334	345	2.7%	3.7%	148	155	1.9%	4.9%	2.3x	2.2x	5.2x	5.0x
Konami	7,829	6,658	2,294	2,515	2.0%	7.0%	520	699	4.0%	20.4%	3.1x	2.8x	13.7x	10.0x
Ainsworth	239	233	172	180	2.2%	3.4%	33	34	2.7%	2.5%	1.3x	1.3x	6.8x	6.6x
Inspired	353	601	327	314	15.0%	-1.2%	107	115	17.8%	5.6%	1.8x	1.9x	5.6x	5.2x
Median	**3,894**	**4,376**	**1,568**	**1,697**	**2.5%**	**4.3%**	**455**	**555**	**4.0%**	**5.6%**	**2.7x**	**2.6x**	**7.1x**	**6.9x**
Mean	**5,011**	**6,943**	**1,892**	**1,981**	**4.7%**	**4.4%**	**668**	**727**	**6.4%**	**7.3%**	**3.0x**	**2.8x**	**8.9x**	**8.0x**

Source: Bloomberg Consensus

Key Risks

- LNW is embarking on a strategy that has a lot of crossover to Aristocrat, the no.1 player in the market who presently has higher investment levels and a larger balance sheet. As such there is a risk that LNW's success will be diminished by competitive actions from Aristocrat specifically, who is intimiately familiar with a large portion of the play-book LNW is executing against;
- There is a risk that other players in industry, whether in land-based or online businesses, also lift their investment spend and effectively neutralise LNW's strategy via stronger competition, leaving market share trajectory more static or worse;
- Casino capex levels have some cyclicality to them. At present we believe overall industry capex spend is close to mid-cycle levels, however there is the possibility of ups and downs that could affect LNW's shorter term outright sales business;
- LNW has a number of law suits against it that are not yet fully resolved but long-dated. The suits typically revolve around antitrust claims in regards LNW acquiring certain patents or other IP involving automatic card shuffling equipment historically, or around legacy operations in Columbia. The law suits typically attempt to look backwards as far as 2009 for the automatic car shuffling issues, and into the 90's for the Columbia-related issues (so these appear to be old historical issues that are not generating further potential liabilities at this point);
- LNW has a number of more recent law suits filed by complainants that its Social Casino business has breached anti-gambling statutes in various states in the USA. We would note that technically Social Casino games are not gambling because there is no possibility of winning, however these matters are not legally resolved in the courts at the time of writing;
- In general, regulation creates both opportunities and risks for LNW. Regulation on the one hand closes out unregulated competition, leaving more of the market to regulated players like LNW, and can act as a positive catalyst, particularly at this point in time in the igaming space. However, the gaming sector in general is constantly the target of greater regulation and control and potentially also taxation, all of which can have negative impacts on LNW in the future;

Appendix 1: Board of Directors

Jamie Odell - Executive Chair

Jamie Odell joined the Board of Scientific Games in 2020 as Executive Chair after serving the Board and CEO Barry Cottle as a senior advisor since May 2019. Mr. Odell brings more than 30 years of experience as a Global CEO in the consumer goods, technology and gaming industries to the Board.

Mr. Odell focuses on investments in technology start-ups in both Australia and the U.S. as co-founder of an Australian private assets growth fund, in partnership with Ellerston Capital (JAADE Private Assets Fund), which currently has over $300M FUM. He is currently a Non Executive Director of CAMMS Group, a private company which develops software solutions in Global Risk, Strategy and Project Management.

Previously, Mr. Odell served as the CEO of Aristocrat Technologies from 2009 to 2017. During his 8-year tenure as CEO, Mr. Odell led a successful, global transformation of Aristocrat which elevated its industry leadership, attracted the industry's top talent and delivered significant returns for investors. Aristocrat is now a top 20 company within the Australian Stock Exchange and has a market capitalization of around $20 billion.

Prior to joining Aristocrat, Mr. Odell had a successful senior leadership career running multinational organizations across the U.S., Australia, Europe and Asia including Managing Director roles with Foster's Group, Beringer and Allied Lyons.

Tony Korsanos - Executive Vice Chair

Toni Korsanos joined Scientific Games Board as Executive Vice Chair in 2020 after serving the Board and the Company as a senior advisor. Ms. Korsanos brings extensive experience in the gaming industry and expertise in technology, finance, strategy, mergers and acquisitions, risk management and financial and regulatory compliance to the Board.

Previously, Ms. Korsanos served as Chief Financial Officer and Company Secretary of ASX-listed Aristocrat Leisure Limited where she was a core member of the senior leadership team, which drove a highly successful turnaround that elevated Aristocrat's leadership in the industry. In this role, she led all finance functions including treasury and investors relations,

and oversaw the majority of Aristocrat's corporate functions, including strategy, global supply chain and human resources. During her career with Aristocrat, Ms. Korsanos gained a significant understanding of the U.S. market and regulatory environment and led a number of transformational cross-border technology acquisitions.

Ms. Korsanos is a Member of Chief Executive Women and a non-executive director of Treasury Wine Estates Limited. Previous directorships include Crown Resorts Limited, Webjet Limited and Ardent Leisure Limited. She also co-founded an Australian private assets growth fund in 2019, in partnership with Ellerston Capital (JAADE Private Assets Fund), which currently has over $300M FUM.

Hamish McLennan - Director

Hamish McLennan joined the board of Scientific Games in 2020. Mr. McLennan chairs several Australian Securities Exchange-listed companies including REA Group Limited, a $15 billion global digital advertising company, and HT&E Limited, a media and entertainment company operating radio, digital and outdoor businesses, and is Deputy Chairman of Magellan Financial Group, a globally-focused equity fund with approximately $100 billion worth of investments under management. Mr. McLennan is also Chairman of Rugby Australia Limited, the governing body of rugby union in Australia, and a director of Claim Central Consolidated, a global digital claims solutions business. Mr. McLennan is an experienced media and marketing executive, previously serving as Executive Chairman and Chief Executive Officer at Network Ten Holdings, an Australian entertainment and news content company, Executive Vice President for News Corporation, a global diversified media and information services company, in Sydney and New York, and Global Chairman and Chief Executive Officer of Young & Rubicam, a division of WPP, the world's largest communications services group.

Michael Regan - Director

Michael J. Regan, a director since 2006, is a former Vice Chairman and Chief Administrative Officer of KPMG LLP and was the lead audit partner for many Fortune 500 companies during his 40-year tenure with KPMG. Mr. Regan is a member of the Board of Directors of Lifetime Brands, Inc. During the past five years, Mr. Regan also served as a member of the board of directors of DynaVox Inc.

Virginia Shanks - Director

Virginia E. Shanks joined the Scientific Games Board in 2021.

Ms. Shanks most recently served as the Strategic Advisor for Penn National Gaming, Inc., a casino entertainment company, until December 2019, following its acquisition of Pinnacle Entertainment Inc. ("Pinnacle"). Previously, Ms. Shanks served as the Executive Vice President and Chief Administrative Officer of Pinnacle, a casino entertainment company from July 2013 to October 2018, and as Executive Vice President and Chief Marketing Officer from October 2010 to June 2013. At Pinnacle, Ms. Shanks was responsible for all company-wide marketing strategies and had oversight of food and beverage, hotel operations, guest service, information technology and gaming operations.

Prior to joining Pinnacle in 2010, Ms. Shanks was the Chief Marketing Officer for Multimedia Games, from 2008 to 2010, where she led product strategy, project management and investor relations. Before joining Multimedia Games, Ms. Shanks held senior executive positions for more than 25 years at Caesars Entertainment Corporation (predecessor to Caesars Entertainment, Inc.), where she was responsible for setting overall corporate brand strategy and overseeing sports and entertainment marketing, strategic alliances, consumer insights, retail, public relations and nationwide casino promotions.

Ms. Shanks also serves on the board of directors for Altria Group, Inc. since 2017 and the board of trustees for EPR Properties since 2019. She has previously served on the board of directors for Global Gaming Women, an independent non-profit organization whose mission is to support, inspire and influence the development of women in the gaming industry, and Make-A-Wish Southern Nevada.

Tim Throsby - Director

Stock Focus

Light and Wonder

Tim Throsby joined the Board as a director in 2020. Mr. Throsby brings extensive financial and business development experience to Scientific Games.

Most recently, Mr. Throsby served as CEO of Barclays Bank Plc and President of Barclays International where he designed and executed a comprehensive restructuring to help transform the performance and culture of the organization. Under Mr. Throsby's leadership, Barclays Bank Plc doubled its return on tangible equity (ROTE) over a US$20 billion top line portfolio of businesses.

Prior to joining Barclays, Mr. Throsby was the Global Head of Equities at JP Morgan, during which time he led the business to become one of the top firms in the industry. Earlier in his career he served as President of Citadel Asia, where he was instrumental in establishing the Citadel Investment Group's business across Asia Pacific and Japan, growing a 120-person team over three years. He previously held leadership positions at Goldman Sachs, Lehman Brothers and Macquarie Bank.

Mr. Throsby currently serves as a non-executive director on the boards of Silver Creek Pharmaceuticals and Lumos Global, a solar power generation company. He earned his Bachelor of Economics degree from the University of Sydney, studied jurisprudence at the University of Oxford and completed the Advanced Management Program at Harvard Business School.

Maria Vullo - Director

Maria T. Vullo joined the board of Scientific Games in 2019. Ms. Vullo previously served as the Superintendent of the New York State Department of Financial Services (the "DFS") from 2016 to 2019 where she was responsible for the regulation of New York's financial services industry. Ms. Vullo managed an agency staff of 1,400 employees with a budget in excess of $250 million. Prior to assuming the role of DFS Superintendent, Ms. Vullo was a litigation partner for 20 years with Paul, Weiss, Rifkind, Wharton & Garrison LLP. She is an experienced trial and appellate litigator in civil, criminal and regulatory matters. In addition, Ms. Vullo served as Executive Deputy Attorney General for Economic Justice under Attorney General Andrew Cuomo in New York State. In that role, Ms. Vullo supervised the Bureaus of Investor Protection, Real Estate Finance, Antitrust, Consumer Protection, and Internet. Ms. Vullo was twice nominated by the New York State Commission on Judicial Nomination to be an Associate Judge of the New York Court of Appeals. She also has served as a member of numerous nonprofit boards where she has assumed leadership positions.

Kneeland Youngblood - Director

Kneeland C. Youngblood joined the Board in 2018 as a director. Mr. Youngblood is the founding partner and chairman of Pharos Capital Group, LLC, a private equity firm that invests in the healthcare and business services sectors. He also serves as a director of Mallinckrodt plc, a specialty pharmaceutical company, a director of TPG Pace Holdings Corp and a trustee of the Dallas Police and Fire Pension System.

Formerly, he served on the board of directors of Gap Inc., Burger King, Energy Future Holdings and Oncor Electric Delivery. Mr. Youngblood graduated from Princeton University in 1978 with a Bachelor of Arts and earned a doctor of medicine from the University of Texas, Southwestern Medical School in 1982.

Stephen Morro - Director

Stephen Morro joined the board of Light & Wonder in 2022. Mr. Morro served as a non-executive director of Aristocrat Leisure Limited from 2010 to 2020, including as Lead U.S. Director.

From 1988 to 2010, Mr. Morro held various roles at International Game Technology PLC, including as President, North American Gaming Division, and Chief Operating Officer, from 2005 to 2007 and 2007 to 2008, respectively.

Mr. Morro has over thirty years of experience in the highly regulated gaming industry as a supplier, operator and regulator.

Stock Focus

Light and Wonder

Light and Wonder, Positive, VALUATION AUD131.07	

Stock Focus

Light and Wonder

FINANCIAL SUMMARY

Light and Wonder			LNW-ASX		
As at:	25/07/2023		Recommendation:	Positive	Share Price: AUD103.38

Year end	Dec	2022A	2023E	2024E	2025E
INCOME STATEMENT					
Total Operating Income/Revenue		2,511.0	2,761.9	2,965.8	3,172.5
EBITDA		914.0	1,015.2	1,184.3	1,281.5
D&A		(420.0)	(407.2)	(370.7)	(340.5)
EBIT		494.0	608.0	813.6	941.0
Net Interest Expense		(327.0)	(275.4)	(253.5)	(233.2)
PBT		167.0	332.6	560.2	707.8
Tax expense		(13.0)	(21.6)	(88.0)	(120.5)
Share of profits from associates		0.0	0.0	0.0	0.0
Minority Interest		3,851.0	(5.0)	0.0	0.0
NPAT attributable to s'hers		**3,675.0**	**139.1**	**312.1**	**427.3**
Normalisation Adjustments		330.0	167.0	160.0	160.0
Adjusted Net Profit		4,005.0	306.1	472.1	587.3
Year end	**Dec**	**2022A**	**2023E**	**2024E**	**2025E**
BALANCE SHEET					
Assets					
Cash		967.0	1,273.3	1,745.9	2,297.1
Current Receivables		455.0	472.3	507.2	546.2
Other Current Assets		278.0	280.0	280.0	280.0
Total Current Assets		1,700.0	2,025.6	2,533.2	3,123.3
Property Plant & Equipment		253	261	261	261
Intangibles		797.0	639.3	547.3	496.0
Other Non-Current Assets		340.0	328.0	328.0	328.0
Total Non-Current Assets		4,309.0	4,150.3	4,058.3	4,007.0
Total Assets (BS)		6,009.0	6,175.9	6,591.5	7,130.3
Liabilities					
Short Term Debt		3,894.0	3,890.0	3,890.0	3,890.0
Total Current liabilities		4,492.0	4,470.8	4,474.3	4,485.9
Total Non-Current Liabilities		356.0	329.0	329.0	329.0
Total Liabilities		4,848	4,800	4,803	4,815
Total Shareholders' Equity		1,161.0	1,376.1	1,788.2	2,315.5
Net Assets		1,161.0	1,376.1	1,788.2	2,315.5
Net Tangible Assets		(2,555.0)	(2,185.2)	(1,681.2)	(1,102.6)
Book Value		1,161.0	1,376.1	1,788.2	2,315.5
Year end	**Dec**	**2022A**	**2023E**	**2024E**	**2025E**
OPERATING CASH FLOWS					
EBITDA		608.0	931.2	1,184.3	1,281.5
Change in Working Capital		(839.0)	11.5	(31.4)	(27.5)
Other Operating Cashflow		0.0	(45.0)	(60.0)	(60.0)
Gross Operating Cash Flow		**(231.0)**	**897.7**	**1,093.0**	**1,194.0**
Net interest paid		0.0	(200.4)	(253.5)	(233.2)
Tax Paid		(29.0)	(34.6)	(88.0)	(120.5)
Net Operating Cash Flows		**(260.0)**	**662.7**	**751.5**	**840.2**
Investing Cash Flows					
Purchase of PP&E		(216.0)	(255.5)	(278.8)	(289.1)
Other Investing Cashflows		6,332.0	(36.0)	0.0	0.0
Total Investing CashFlow		**6,116.0**	**(291.5)**	**(278.8)**	**(289.1)**

Year end	Dec	2022A	2023E	2024E	2025E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(5,082.0)	(6.0)	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(343.0)	(47.0)	0.0	0.0
Total Financing Cash Flow		**(5,401.0)**	**(65.0)**	**0.0**	**0.0**
Net Change in Cash		332.0	306.3	472.7	551.1
Free Cashflow		(476.0)	407.3	472.7	551.1
Year end	**Dec**	**2022A**	**2023E**	**2024E**	**2025E**
PER SHARE DATA					
EPS - Adjusted (cents)		4,171.9	334.6	508.2	622.6
Cash Flow Per Share (cents/share)		(495.8)	445.2	508.8	584.2
Book Value ($/sh)		1,209.4	1,504.3	1,924.8	2,454.6
NTA Per Share ($/sh)		(2,661.5)	(2,388.9)	(1,809.6)	(1,168.8)
Year end	**Dec**	**2022A**	**2023E**	**2024E**	**2025E**
ANALYSIS					
EBITDA Margin (%)		36.4	36.8	39.9	40.4
EBIT Margin (%)		19.7	22.0	27.4	29.7
Net Profit Margin (%)		159.5	11.1	15.9	18.5
Capital Employed		4,088.0	3,992.8	3,932.2	3,908.4
Return on Capital Employed (%)		9.8	15.0	20.5	24.0
EBITDA/Capital Employed (%)		18.2	25.1	29.9	32.7
ROE %		**(847.6)**	**24.1**	**29.8**	**28.6**
Net Debt/Equity (%)		252.1	190.2	119.9	68.8
Net Debt/Net Debt & Equity (%)		71.6	65.5	54.5	40.8
Net Debt/EBITDA (x)		3.2	2.6	1.8	1.2
Net Interest Cover (x)		1.5	2.2	3.2	4.0
GOCF/EBITDA (%)		(0.4)	1.0	0.9	0.9
Total Capex/Sales (%)		8.6	9.2	9.4	9.1
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		166.0	156.0	142.0	130.4
EV/EBITDA (x)		14.1	11.9	9.9	8.9

BLENDED VALUATION		
Valuation - DCF	200.77	0.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	131.07	1.0%
Valuation - SOTP	0.00	
Valuation	AUD131.07	

Source: Company data, E&P estimates

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RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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